Hunny Shah

AA - Substantive Procedures Recap

Master procedure checklists by financial statement area, with real examiner's comments

Kaplan AA Exam Kit 2025-26 - built from all 20 questions in the "Substantive procedures, completion and reporting" section (Q239-258, plus Q260): Cookit, Latte, Heron, Pacific, Spinach, Danube, Purrfect, Sagittarii & Co, Encore, Spadefish, Hyacinth, Jasmine, Gooseberry, Dashing, Airsoft, Insects4U, Elounda, Andromeda, Hawthorn, Pineapple Beach Hotel, Violet & Co

How to use this recap

Substantive procedure questions test the SAME technique repeatedly across different account balances: identify the right assertion, then design a procedure that gets specific, sourced evidence about it. Where the exam kit tests a balance (e.g. bank reconciliation, trade receivables, a bank loan) with an almost identical checklist across multiple companies, those procedures are merged into one master list here with every source tagged. Where a balance needed a genuinely different approach (e.g. a specific disputed receivable vs. the whole receivables balance), they're kept as separate lists.

How marks are actually awarded

Element	What scores the mark
Detail	1 mark per well-described procedure. A vague version of the same procedure (e.g. 'review disclosures') scores only 1/2 mark - the full mark needs the specific standard/legislation, source document, or comparison named.
Assertion match	When a requirement names a specific assertion (e.g. valuation, completeness, existence), only procedures addressing THAT assertion score - general procedures for other assertions score nothing, however well written.
Balance vs transaction	When the requirement is for a year-end BALANCE (receivables, payables), procedures testing the related TRANSACTIONS (sales, purchases) instead score nothing, and vice versa.
Substantive vs control	A substantive procedure gets evidence about a number in the financial statements. A test of control gets evidence a client control operated. Mixing them up is one of the most common mark losses in the whole exam kit.

Common mistakes - don't lose these easy marks

- Rote-learned, generic procedures reproduced regardless of the scenario score very few marks - every procedure must be tailored to the specific facts given.
- 'Obtain a written representation' without stating what it confirms scores nothing - and representations should be reserved for management judgement areas or where little independent evidence exists, not used as a substitute for testing.
- The scenario sometimes explicitly rules out a procedure (e.g. 'no circularisation will be performed') - including it anyway, or describing its steps in detail, scores nothing and wastes time.

- A procedure must name the SOURCE DOCUMENT and WHAT is being confirmed - 'review the aged receivables report' is incomplete; 'review the aged receivables report to identify slow-moving balances and discuss recoverability with the credit controller' scores the full mark.
- Comparing a balance to the prior year only scores half credit - the other half requires investigating/discussing any significant differences found.

1. Foundations

1.1 Assertions

Assertion	Definition	Example substantive procedure
Occurrence	Transactions and events that have been recorded have actually occurred and pertain to the entity.	Select a sample of recorded transactions and agree the details back to source documentation (e.g. a goods despatch note and customer order for sales).
Completeness	All transactions and events that should have been recorded have been recorded.	Select a sample of source documents (e.g. GDNs) raised during the year and agree they were recorded in the relevant ledger/listing.
Accuracy	The amounts and other data relating to recorded transactions and events have been recorded appropriately.	Select a sample of invoices and recalculate totals, including tax; agree prices used to authorised price lists.
Cut-off	Transactions and events have been recorded in the correct accounting period.	Select a sample of transactions immediately before and after the year end and confirm they are recorded in the correct period.
Classification	Transactions and events have been recorded in the proper accounts.	Agree a sample of transactions are recorded within the correct general ledger account codes.
Presentation	Transactions and events are appropriately aggregated/disaggregated, clearly described, and related disclosures are relevant and understandable.	Agree the breakdown disclosed in the financial statements to the underlying general ledger account codes.
Existence (balances)	An asset, liability, or equity interest recorded actually exists at the period end.	Physically verify a sample of assets, or agree a balance to independent third-party confirmation.
Rights and obligations (balances)	The entity holds or controls the rights to assets, and liabilities are the obligations of the entity.	Agree ownership documentation (e.g. invoices in the company's name, title deeds) for a sample of assets/liabilities.
Valuation and allocation (balances)	Assets, liabilities and equity interests are included at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded.	Recalculate the balance/estimate and compare to supporting documentation or an independent benchmark.

1.2 Reliability of audit evidence (most to least reliable)

- Evidence from independent external sources is more reliable than evidence generated internally by the entity.

- Internally generated evidence is more reliable when the related controls (over its preparation and maintenance) are effective.
- Evidence obtained directly by the auditor is more reliable than evidence obtained indirectly or by inference.
- Evidence in documentary form (paper, electronic or other medium) is more reliable than evidence obtained orally.
- Original documents are more reliable than photocopies or facsimiles, whose reliability may depend on controls over their preparation.
- **Auditor Generated Directly >Third Party > AG indirectly >Internal auditor Evidence > Management Evidence >Verbal**

1.3 Contents of an audit working paper

Contents (1 of 2)	Contents (2 of 2)
Name of client — identifies the client being audited.	Year-end date — identifies the period to which the working paper relates.
Subject — identifies the area of the financial statements/topic being audited.	Working paper reference — a clear reference number for the working paper.
Preparer — the name of the team member who prepared it, so queries can be directed appropriately.	Date prepared — helps identify what was known at the time and what issues arose subsequently.
Reviewer — the name of the team member who reviewed the working paper, evidencing review took place.	Date of review — should be before the date the auditor's report was signed.
Objective of the work/test — the aim of the procedure, often linked to the assertion being tested.	Details of work performed — the tests performed and sufficient detail of items selected.
Results of work performed — whether exceptions arose and whether further work is needed.	Conclusion — the overall conclusion on the audit work performed.

Examiner's comments (real, attributed feedback from past sittings)

- Cookit Co: candidates too often rote-learn a set of standard tests and reproduce them for every requirement without regard to relevance — this generates very few marks. Every procedure must be tailored to the specific scenario.
- Cookit Co / Peach Co (risk doc) pattern repeats here: a procedure like 'review disclosures' scores only 1/2 mark — the full mark requires naming what it should comply with, e.g. 'in accordance with accounting standards/local legislation'.
- Danube Co: 'obtain a written representation' without stating what it is confirming earns no credit — and written representations should be restricted to areas of management judgement or where little independent evidence exists, not used as a substitute for testing (e.g. not appropriate for completeness of payables).
- Multiple reports: candidates must distinguish a substantive procedure from a test of control — e.g. procedures performed at an inventory count to test the client's counting process are tests of control, not substantive procedures for valuation.
- Multiple reports: when a requirement specifies an ASSERTION (e.g. valuation, completeness, existence), procedures addressing any other assertion score nothing, however well written — always check which assertion(s) the requirement names before drafting.

2. Inventory

Hunny Shah

Valuation procedures

Substantive procedure	Source(s)
Obtain a breakdown/listing of the inventory category in question, cast it, and agree the total to the trial balance and financial statements.	*Cookit Co / Purrfect Co / Hyacinth Co / Elounda Co*
For a sample of finished goods/WIP items, obtain cost records and agree raw material costs to purchase invoices, labour costs to timesheets/payroll records, and confirm overheads allocated are of a production (not general) nature.	*Purrfect Co / Hyacinth Co / Elounda Co*
Select a sample of year-end inventory items and review post-year-end sales invoices, comparing the sale price to cost, to establish whether net realisable value (NRV) is above cost or a write-down is required.	*Cookit Co / Purrfect Co / Hyacinth Co / Elounda Co*
Review the aged inventory report to identify slow-moving/obsolete items and discuss with management whether an allowance or write-down has been made or is required.	*Cookit Co / Purrfect Co / Hyacinth Co / Elounda Co*
Calculate the inventory holding period, compare to the prior year (or budget), and investigate any significant differences.	*Cookit Co*
Compare actual sales volumes/prices for the item in question to budget or historical trend to assess whether falling demand indicates a required write-down; consider researching competitor pricing where relevant.	*Cookit Co / Purrfect Co*
For a specific damaged/defective batch, agree its cost to supporting documentation (raw material, labour, overheads) and discuss with management their assessment of NRV and planned write-down; agree any write-down made to the final valuation.	*Cookit Co / Hyacinth Co / Elounda Co*
For work in progress, agree a sample of WIP assessed at the count to the WIP schedule, agreeing percentage completion to that recorded at the count; discuss the basis of the WIP valuation with management and assess its reasonableness.	*Hyacinth Co / Elounda Co*
Review board minutes for discussion of the reasons for reduced demand/quality issues and whether an allowance to reduce inventory to NRV has been considered.	*Cookit Co / Hyacinth Co*
Review the financial statement disclosures relating to inventory to ensure compliance with IAS 2 Inventories.	*Hyacinth Co / Elounda Co*

Inventory count procedures - BEFORE the count

Substantive procedure	Source(s)
Review the prior year audit file to identify any warehouses/locations where significant inventory issues arose previously.	*Spinach Co / Andromeda Co*
Discuss with management whether any warehouses are new this year, have undergone significant change, or have experienced control issues.	*Spinach Co / Andromeda Co*
Decide which locations the audit team will attend, based on materiality and assessed risk of each site.	*Spinach Co / Andromeda Co*
Obtain and review a copy of the proposed inventory count instructions to identify any control deficiencies, and discuss these with management before the count.	*Spinach Co / Andromeda Co*
Discuss with management whether any third-party inventory is held at the client's sites (or client inventory held at third-party sites).	*Spinach Co*

Inventory count procedures - DURING the count

Substantive procedure	Source(s)
Observe the counting teams to confirm the inventory count instructions are being followed correctly.	*Spinach Co / Andromeda Co*
Select samples of inventory and perform two-way test counts (system/sheet to physical item, and physical item to system/sheet).	*Spinach Co / Andromeda Co*
Observe procedures for identifying and segregating damaged/slow-moving goods, and inspect inventory for evidence of damage.	*Spinach Co / Andromeda Co*
Observe that inventory movements have ceased (or are being properly controlled) during the count.	*Spinach Co / Andromeda Co*
Discuss with the internal audit supervisor (or relevant staff) how raw material/WIP quantities have been estimated, and where possible reperform their procedures.	*Spinach Co / Andromeda Co*
Obtain a copy of the completed, sequentially numbered inventory sheets for follow-up testing at the final audit.	*Spinach Co / Andromeda Co*
Note the last GRN and GDN numbers used before the year end (and the first used after) to perform cut-off procedures at the final audit.	*Spinach Co / Andromeda Co*
Observe procedures for identifying third-party inventory and confirm none is included within the client's own count sheets.	*Spinach Co*

Examiner's comments (real, attributed feedback from past sittings)

- Cookit Co: when the requirement specifies VALUATION, general inventory procedures such as physical inspection for existence, or WIP/standard-cost tests where the client only holds finished goods, earn no credit at all — read what the client actually holds and what assertion is asked before drafting procedures.
- Cookit Co: gross profit margin review does not gain credit as an inventory valuation procedure — it is not closely enough related to inventory valuation specifically; the inventory holding period comparison is the correct analytical procedure here.

3. Trade receivables

Existence, valuation & allowance for credit losses

Substantive procedure	Source(s)
Obtain the aged receivables listing, cast it, and agree the total to the trade receivables account/trial balance.	*Latte Co / Jasmine Co / Dashing Co*
Review the aged receivables listing to identify old/slow-moving balances and discuss their status with the credit controller/finance director to assess likelihood of payment.	*Latte Co / Encore Co / Jasmine Co / Dashing Co / Insects4U Co / Hawthorn Co*
Review after-date cash receipts and follow through to pre-year-end receivable balances, ensuring old/slow-moving balances are represented in the sample.	*Latte Co / Encore Co / Jasmine Co / Dashing Co / Hawthorn Co*
Review customer correspondence to identify balances in dispute or considered unlikely to be paid, and discuss with management whether these are reflected in the allowance.	*Latte Co / Encore Co / Purrfect Co / Jasmine Co /*

Hunny Shah

Substantive procedure	Source(s)
	Insects4U Co / Hawthorn Co
Review board minutes for evidence of significant concerns regarding customer payments.	*Latte Co / Encore Co / Purrfect Co / Dashing Co / Insects4U Co / Hawthorn Co*
Obtain a breakdown of the allowance for receivables/credit losses calculation, recalculate it, and compare to potentially irrecoverable balances to assess adequacy.	*Latte Co / Encore Co / Dashing Co (opening) / Insects4U Co*
Discuss with the finance director the rationale for the allowance level (particularly where it has not increased despite deteriorating indicators), and agree any change in assumptions to supporting documentation.	*Latte Co / Encore Co*
Inspect a sample of post-year-end sales returns/credit notes to assess whether an additional allowance is required.	*Latte Co / Encore Co / Jasmine Co / Hawthorn Co*
Calculate the receivables collection period, compare to the prior year, and investigate any significant differences.	*Latte Co / Jasmine Co / Hawthorn Co*
Select a sample of goods despatch notes immediately before and after the year end and follow through to receivables to confirm correct-period recording (cut-off).	*Latte Co / Jasmine Co / Hawthorn Co*
Select a sample of year-end receivables balances and agree back to supporting documentation (sales invoice, GDN, sales order) to confirm existence.	*Latte Co / Jasmine Co*

Testing a specific disputed/individual receivable

Substantive procedure	Source(s)
Review correspondence with the specific customer to establish whether payment difficulties were discussed and whether full settlement is expected.	*Purrfect Co*
Review the age of the specific outstanding debt and discuss with the credit controller whether credit terms have been exceeded and whether an allowance is warranted.	*Purrfect Co*
Review post-year-end receipts from the specific customer to establish how much of the balance has since been recovered.	*Purrfect Co*

Steps in performing a receivables circularisation

Substantive procedure	Source(s)
Obtain management's consent in advance of undertaking the circularisation.	*Dashing Co*
Obtain the year-end receivables listing, cast it, and agree to the trade receivables account; select a sample ensuring nil, old, credit and large balances are all represented.	*Dashing Co*
Prepare circularisation letters on the client's letterhead, requesting confirmation of the year-end balance with replies sent directly to the audit team (using a pre-paid envelope, or for email requests, an auditor-controlled reply address).	*Dashing Co*
Have the client sign the letters (or, for email, observe the client staff sending them) before despatch by a member of the audit team.	*Dashing Co*
Where no response is received, follow up with a further letter, email, or phone call; where necessary, perform alternative procedures instead.	*Dashing Co*

Substantive procedure	Source(s)
When replies are received, reconcile them to the client's records and investigate differences such as cash or goods in transit.	*Dashing Co*

Resolving circularisation exceptions

Substantive procedure	Source(s)
Non-response: with client permission, send a follow-up confirmation request; if there is still no response, telephone the customer requesting a written reply; if there is still no response, perform alternative procedures — detailed testing of the balance by agreeing to sales invoices and goods despatch notes, and reviewing after-date cash receipts.	*Danube Co / Spadefish Co*
Confirmed balance lower than recorded (timing difference — cash in transit): agree the difference to post-year-end cash receipts in the bank ledger account.	*Danube Co / Spadefish Co*
Confirmed balance lower than recorded (timing difference — goods in transit): agree the difference to a pre-year-end goods despatch note.	*Danube Co / Spadefish Co*
Confirmed balance lower than recorded (possible misposting/error): review the list of individual customer balances for possible mispostings as a cause of the difference.	*Danube Co / Spadefish Co*
Credit balance confirmed on a customer account: discuss with the credit controller/finance department how the credit balance arose; check whether the customer is also a supplier (a purchase invoice may have been misposted to receivables); agree any difference to pre-year-end credit notes issued around the year end.	*Spadefish Co*

Examiner's comments (real, attributed feedback from past sittings)

- Danube Co: for circularisation exceptions, procedures must be SPECIFIC about which record is being reviewed and whether it is pre- or post-year-end — a vague 'investigate the difference' does not score; state exactly what will be inspected (e.g. 'agree to post-year-end cash receipts in the bank ledger account').
- Multiple reports: when the requirement is for receivables (or payables), procedures relating to REVENUE (or purchases) transactions instead of the year-end balance earn no credit — e.g. 'recalculate the sales invoice total' tests revenue, not the receivables balance.
- Multiple reports: 'review after-date cash receipts' alone scores 1/2 mark; the full mark requires 'and follow through to the pre-year-end receivable balance' — vague procedures are a recurring, easily avoidable mark loss.

4. Trade payables & accruals

Completeness procedures

Substantive procedure	Source(s)
Compare the total trade payables (and/or payables payment period) to the prior year and investigate any significant differences.	*Cookit Co / Pacific Co / Airsoft Co / Insects4U Co*
Compare the accruals listing to the prior year to identify missing items or unusual fluctuations, and discuss with management.	*Cookit Co / Pacific Co / Airsoft Co*

Substantive procedure	Source(s)
Obtain supplier statements and reconcile to the list of individual supplier balances (or ask client staff to prepare reconciliations for a sample of suppliers); investigate any reconciling items.	*Cookit Co / Pacific Co / Airsoft Co / Insects4U Co*
Select a sample of purchase invoices received around the year end and, by reference to GRNs, establish whether goods were received before or after the year end; confirm correct-period treatment (or exclusion) accordingly.	*Cookit Co / Pacific Co / Insects4U Co*
Review after-date payments; where they relate to the current year, follow through to confirm inclusion in the year-end payables/accrual listing.	*Cookit Co / Pacific Co / Airsoft Co / Insects4U Co*
Select a sample of GRNs from immediately before and after the year end and follow through to confirm correct inclusion in the relevant period's payables/GRNI accrual (cut-off).	*Cookit Co / Pacific Co / Insects4U Co*
Select a sample of payables balances and perform a trade payables circularisation; follow up non-responses and investigate reconciling items between the confirmed and recorded balance.	*Pacific Co / Airsoft Co / Insects4U Co*
Where a known misstatement/cut-off error has been identified (e.g. a payment run processed before invoices were logged), discuss with management how they quantified it, and review the correcting journal entry for completeness.	*Pacific Co / Insects4U Co*

Resolving supplier statement reconciliation exceptions

Substantive procedure	Source(s)
Where the supplier statement agrees to the recorded balance, no further work is required.	*Hawthorn Co*
Where a difference arises due to an invoice in transit, confirm from the GRN whether the goods were received pre-year-end and, if so, confirm the amount is included in year-end accruals.	*Hawthorn Co*
Where a difference arises due to cash in transit to the supplier, confirm from the bank ledger account/bank statements that payment was sent pre-year-end.	*Hawthorn Co*
For any other reconciling item, discuss with the payables ledger team to understand its nature and confirm it has been correctly accounted for.	*Hawthorn Co*

Examiner's comments (real, attributed feedback from past sittings)

- Cookit Co / Pacific Co: the scenario will sometimes explicitly state that supplier confirmations/circularisations will NOT be performed — including this procedure anyway scores nothing, and going further to describe circularisation steps wastes time for no credit. Always check the scenario for procedures ruled out.
- Cookit Co: procedures about WHY a payables clerk left, or when they'll be replaced, are not substantive procedures on completeness of payables and earn no credit — stay focused on gathering evidence about the balance itself.

5. Bank & cash

Source: Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co

Substantive procedure	Source(s)
Obtain a bank confirmation letter from the client's bankers covering all accounts held.	*Heron Co / Jasmine Co / Airsoft Co*

Substantive procedure	Source(s)
Agree all balances listed on the bank confirmation letter to the client's bank reconciliations and/or trial balance/general ledger to confirm completeness of bank balances.	*Heron Co / Jasmine Co / Airsoft Co*
For each account, obtain the bank reconciliation and cast it to confirm arithmetical accuracy.	*Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co*
Agree the balance per the bank reconciliation to an original year-end bank statement and to the bank confirmation letter.	*Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co*
Agree the balance per the reconciliation to the year-end bank ledger account/cash book.	*Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co*
Trace all outstanding lodgements to the pre-year-end bank ledger/cash book, the post-year-end bank statement, and the pre-year-end paying-in book.	*Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co*
Trace all unpresented cheques to the pre-year-end bank ledger/cash book and the post-year-end bank statement; obtain explanations from management for any unusual amounts or significant delays.	*Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co*
Examine old unpresented cheques to assess whether they need to be written back as no longer valid.	*Heron Co / Jasmine Co / Airsoft Co / Hawthorn Co*
Review the bank ledger/cash book and statements for unusual items or large transfers around the year end, which could indicate window dressing.	*Heron Co / Jasmine Co / Airsoft Co*
Examine the bank confirmation letter for details of any security given, or legal right of set-off, which may require disclosure.	*Heron Co / Jasmine Co / Airsoft Co*
For savings/other accounts, review reconciling items on the year-end reconciliation and agree to supporting documentation.	*Heron Co / Jasmine Co*
Review the financial statements to confirm bank balances are completely and accurately disclosed, correctly split between current assets and current liabilities (overdraft).	*Heron Co / Jasmine Co / Airsoft Co*

Examiner's comments (real, attributed feedback from past sittings)

- This is one of the most formulaic procedure sets in the whole syllabus — the bank reconciliation checklist barely changes between scenarios. Learn it once as a template and adapt only the account names/specifics.

6. Provisions & legal claims

Provisions generally (redundancy, restructuring, etc.)

Substantive procedure	Source(s)
Review board minutes (and, where relevant, the company website/staff/customer correspondence) for evidence of when a decision/announcement was formally made, to establish the timing of any obligation relative to the year end.	*Cookit Co / Dashing Co / Sagittarii & Co / Peach Co (risk doc pattern)*
Obtain the provision calculation/schedule, cast it, and agree component data (e.g. staff names, cost items) to supporting records such as payroll/HR records or invoices, to confirm neither omissions nor invalid inclusions.	*Cookit Co / Sagittarii & Co / Dashing Co*
Recalculate the provision and agree amounts included to relevant supporting documentation (e.g. employment contracts for redundancy, invoices for restructuring costs).	*Cookit Co / Dashing Co / Sagittarii & Co*

Substantive procedure	Source(s)
Review post-year-end payments relating to the matter and compare actual amounts paid/received to the amount provided, to assess the reasonableness of the provision.	*Cookit Co / Latte Co / Sagittarii & Co / Danube Co / Purrfect Co*
Obtain a written representation from management confirming the completeness of the provision (and, for contested matters, management's view of the likely outcome).	*Cookit Co / Latte Co / Sagittarii & Co / Dashing Co / Purrfect Co*
Review the disclosure of the provision in the draft financial statements for compliance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets.	*Cookit Co / Latte Co / Pacific Co / Sagittarii & Co / Dashing Co / Purrfect Co*

Legal claims specifically

Substantive procedure	Source(s)
Obtain/review the correspondence relating to the claim to understand the basis of, and amount claimed.	*Latte Co / Heron Co / Pacific Co / Danube Co / Purrfect Co / Pineapple Beach Hotel*
Review correspondence with the entity's lawyers, or with the client's permission contact the lawyers directly, to establish the likely outcome and estimated amount, in order to assess whether a provision or contingent liability disclosure is appropriate.	*Latte Co / Heron Co / Pacific Co / Danube Co / Purrfect Co / Pineapple Beach Hotel*
Discuss with the lawyers/management the likelihood and estimated amount of any OTHER similar claims that may arise.	*Purrfect Co / Danube Co*
Inspect board minutes / discuss with the finance director to ascertain whether payment is considered probable and the basis for the amount provided.	*Latte Co / Heron Co / Pacific Co*
Review the post-year-end bank ledger account/bank statements to identify whether any payment has since been made, and compare to the amount provided.	*Latte Co / Heron Co / Danube Co / Pineapple Beach Hotel*

Examiner's comments (real, attributed feedback from past sittings)

- Cookit Co: the nature of the provision matters — a redundancy provision is not a legal claim, so 'contact the lawyers' earns no credit for it; conversely a legal claim should not be tested with generic redundancy-style procedures. Match the procedure to what the provision actually is.
- Cookit Co: don't assume a post-year-end cash payment will have occurred by the time of the final audit — if the scenario timeline makes this implausible (e.g. payment isn't due until months after the audit concludes), a 'review post-year-end payment' procedure earns no credit.
- Danube Co: 'recalculate the provision' is meaningless for a single claim/counter-claim with no calculation to perform — only include this procedure where the provision genuinely involves a calculation (e.g. per-employee redundancy costs).

7. Property, plant & equipment

Additions & disposals

Substantive procedure	Source(s)
Obtain a breakdown/schedule of additions (and disposals), cast it, and agree to the non-current asset register and financial statements.	*Heron Co / Encore Co*
For a sample of additions, agree the cost to the supplier invoice, confirming the invoice is made out to the client (rights and obligations) and that ineligible costs are excluded.	*Heron Co / Encore Co*
Physically verify a sample of additions, agreeing details (e.g. registration/serial number) to the non-current asset register, to confirm existence.	*Heron Co / Encore Co*
Where part-exchange is involved, agree the recorded cost includes both the cash paid and the trade-in allowance, and confirm the disposed asset has been correctly removed from the register (cost and accumulated depreciation).	*Encore Co*
Recalculate any profit/loss on disposal and agree to the trial balance and statement of profit or loss.	*Encore Co*
Discuss the basis for any useful life/depreciation rate with management, agree to supporting documentation such as an asset replacement policy, and assess reasonableness — particularly where a significant profit/loss on disposal suggests the previous policy may not have been appropriate.	*Heron Co / Encore Co*
Recalculate the depreciation charge, confirming appropriate time-apportionment (e.g. charged only from the date the asset was brought into use, and only up to the date of disposal for assets sold in-year).	*Heron Co / Encore Co*
Review the disclosure of additions/disposals in the draft financial statements for compliance with IAS 16 Property, Plant and Equipment.	*Heron Co / Encore Co*

Revaluation

Substantive procedure	Source(s)
Obtain a schedule of assets revalued in the year, cast it, and agree to the trial balance and financial statements.	*Danube Co / Elounda Co*
Assess the competence, capability, and objectivity of the valuer by enquiry into their qualifications, professional body membership, experience, and any financial/personal relationship with the client.	*Danube Co / Elounda Co*
Agree the revalued amounts to the valuation report/statement and confirm all assets in the same class have been revalued, in line with IAS 16.	*Danube Co / Elounda Co*
Recalculate the total revaluation adjustment and agree it is correctly recorded within the revaluation surplus.	*Danube Co / Elounda Co*
Recalculate the depreciation charge for revalued assets, confirming it is based on the revalued amount from the date of revaluation (pro rata as appropriate).	*Danube Co / Elounda Co*
For a sample of assets, physically verify existence and trace from the register to the general ledger to confirm completeness.	*Danube Co*
Review the disclosures relating to the revaluation in the draft financial statements for compliance with IAS 16.	*Danube Co / Elounda Co*

Depreciation

Substantive procedure	Source(s)
Discuss with management the rationale for any changes to depreciation rates, useful lives, residual values, or methods, and how these were determined.	*Gooseberry Co / Pineapple Beach Hotel*
Assess the reasonableness of revised rates/lives/methods by comparison to industry averages and knowledge of the business.	*Gooseberry Co / Pineapple Beach Hotel*
Review asset expenditure/replacement budgets to assess whether planned replacement timing is consistent with the useful lives applied.	*Gooseberry Co / Pineapple Beach Hotel*
Review profits/losses on disposals in the year as corroborating evidence of whether depreciation rates are reasonable.	*Gooseberry Co / Pineapple Beach Hotel*
Select a sample of assets and recalculate the depreciation charge to confirm the revised rates have been correctly applied.	*Gooseberry Co / Pineapple Beach Hotel*
Perform a proof-in-total calculation of the depreciation charge for asset categories with minimal additions/disposals in the year, and investigate significant fluctuations.	*Gooseberry Co / Pineapple Beach Hotel*
Review the disclosure of depreciation charges and policies in the draft financial statements for compliance with IAS 16.	*Gooseberry Co / Pineapple Beach Hotel*

Examiner's comments (real, attributed feedback from past sittings)

- Danube Co: where a requirement is restricted to one category of PPE (e.g. land and buildings only), procedures relating to other asset categories score nothing — read exactly which category the requirement names.
- Encore Co: procedures must reflect the specific mechanics described in the scenario — e.g. where assets are acquired via part-exchange, the cost recognised should include both the cash paid AND the trade-in value; testing only the cash element misses part of the balance.

8. Intangible assets (research & development)

Source: Hyacinth Co / Gooseberry Co / Andromeda Co

Substantive procedure	Source(s)
Obtain and cast a schedule of intangible assets (opening balance, additions, amortisation, closing balance) and agree to the general ledger, trial balance and financial statements.	*Hyacinth Co / Gooseberry Co / Andromeda Co*
For each project, discuss with management its details and stage of development, and whether costs have been capitalised or expensed.	*Hyacinth Co / Gooseberry Co / Andromeda Co*
For costs expensed as research, agree to invoices/supporting documentation and confirm inclusion in profit or loss.	*Hyacinth Co / Gooseberry Co / Andromeda Co*
For costs capitalised as development, agree to invoices and confirm technical feasibility by discussion with development managers or review of feasibility reports.	*Hyacinth Co / Gooseberry Co / Andromeda Co*
Review market research reports/cash flow and revenue projections to confirm the entity has the ability and resources to complete the project and that probable future economic benefits exist.	*Hyacinth Co / Gooseberry Co / Andromeda Co*
Discuss the useful life applied for amortisation with the finance director and assess its reasonableness.	*Hyacinth Co / Andromeda Co*

Substantive procedure	Source(s)
Recalculate the amortisation charge for a sample of intangible assets which have commenced production/use, confirming amortisation only began from that point.	*Hyacinth Co / Gooseberry Co / Andromeda Co*
Review the disclosures for intangible assets in the draft financial statements for compliance with IAS 38 Intangible Assets.	*Hyacinth Co / Gooseberry Co / Andromeda Co*

Examiner's comments (real, attributed feedback from past sittings)

- This is another highly formulaic set — the same eight-step checklist (breakdown, discuss stage, test research costs, test development costs, feasibility, market/resources, amortisation, disclosure) transfers almost unchanged across every R&D question in the kit.

9. Revenue

Analytical procedures

Substantive procedure	Source(s)
Compare total revenue for the year against the prior year and/or budget, and investigate/discuss any significant fluctuations with management.	*Pacific Co / Spinach Co / Pineapple Beach Hotel*
Obtain a breakdown of revenue disaggregated by product line, customer type, store, or month, compare to the prior year/budget, and investigate significant movements.	*Pacific Co / Spinach Co / Pineapple Beach Hotel*
Perform a proof-in-total calculation for revenue (e.g. expected volume × price, or occupancy × rate), compare to actual revenue recorded, and investigate significant differences.	*Pacific Co / Spinach Co / Sagittarii & Co / Pineapple Beach Hotel*
Calculate the gross profit margin and compare to the prior year, investigating any significant fluctuations.	*Pacific Co / Spinach Co / Pineapple Beach Hotel*

Tests of detail

Substantive procedure	Source(s)
For a sample of sales invoices, agree the price charged to the authorised price list/customer master data, and recalculate invoice totals including any discounts and sales tax.	*Spinach Co / Hawthorn Co*
Trace a sample of credit notes through to the original invoice and confirm the sale has been correctly removed from revenue.	*Spinach Co*
Select a sample of despatch notes and agree to sales invoices and inclusion in the sales listing/revenue account, to test completeness.	*Spinach Co / Hawthorn Co*
Select a sample of despatch notes immediately before and after the year end and confirm the related sale is recorded in the correct period (cut-off).	*Spinach Co / Hawthorn Co*
Where customers pay in advance of goods/services being provided, select a sample of late-period sales and confirm any amount relating to undelivered performance obligations is recognised as deferred income/a contract liability, not revenue.	*Spinach Co*

Specific income types (subscriptions, events, concessions)

Substantive procedure	Source(s)
Obtain a schedule of all income by category, cast it, and agree to the trial balance; compare each category to the prior year and investigate significant differences.	*Sagittarii & Co / Insects4U Co*
For subscription/donation-type income, trace a sample from sign-up/subscription documentation through to the bank ledger account and bank statements to confirm complete and accurate recording.	*Sagittarii & Co / Insects4U Co*
For event/ticketed income, perform a proof-in-total (tickets sold × price) and reconcile cash banked to the till/ticket stub record.	*Sagittarii & Co*
For revenue-share arrangements (e.g. concession/stall income), agree the amount received to supporting documentation from the counterparty and recalculate the agreed percentage/rate.	*Sagittarii & Co*

Examiner's comments (real, attributed feedback from past sittings)

- Spinach Co: when a requirement is for REVENUE specifically, receivables procedures (e.g. allowance for receivables, aged receivables review) earn no credit — stick to the revenue transaction stream, not the resulting balance.

10. Financing

Bank loans

Substantive procedure	Source(s)
Obtain the loan agreement/documentation to confirm the amount borrowed, repayment terms, and interest rate.	*Latte Co / Sagittarii & Co / Elounda Co*
Request a bank/loan provider confirmation letter to confirm the outstanding balance and any security given, and agree to the trial balance/financial statements.	*Latte Co / Sagittarii & Co / Elounda Co*
Agree loan proceeds received and repayments made in the year to the bank ledger account and bank statements.	*Sagittarii & Co / Elounda Co*
Recalculate the split of any repayment between capital and interest, recalculate the interest expense for the year, and agree to the statement of profit or loss and the outstanding balance.	*Latte Co / Sagittarii & Co*
Review correspondence with the lender for evidence of any late-payment penalties or early-settlement charges, and confirm these are included as an interest expense.	*Latte Co / Sagittarii & Co / Elounda Co*
Review the loan agreement for covenants and recalculate to identify any actual or potential breaches, discussing the impact of any breach with the finance director.	*Latte Co / Sagittarii & Co / Elounda Co*
Review the disclosure of the loan in the draft financial statements, including the split between current and non-current liabilities and any security given, for compliance with accounting standards and local legislation.	*Latte Co / Sagittarii & Co / Elounda Co*

Share issues

Substantive procedure	Source(s)
Review board minutes to confirm the number of shares issued and the issue price.	*Spinach Co / Andromeda Co*

Substantive procedure	Source(s)
Confirm the share issue is permitted by reviewing the company's statutory constitution documents.	*Spinach Co*
Review legal documentation/correspondence/prospectus to confirm the details of the share issue.	*Spinach Co*
Agree the new shares issued to the share register.	*Spinach Co*
Inspect the bank ledger account and bank statements for evidence of cash received from the issue.	*Spinach Co / Andromeda Co*
Recalculate the split of proceeds between the nominal value (share capital) and premium on issue, and agree correctly recorded within equity.	*Spinach Co / Andromeda Co*
Where amounts remain unpaid, confirm the shortfall is treated as share capital called up but not paid.	*Spinach Co*
Review the disclosure of the share issue in the draft financial statements for compliance with accounting standards and local legislation.	*Spinach Co / Andromeda Co*

Examiner's comments (real, attributed feedback from past sittings)

- The loan and share-issue procedure checklists are highly reusable templates — the specific numbers change but the structure (confirm terms, confirm proceeds/repayments, recalculate splits/interest, check covenants/legality, review disclosure) is nearly constant across the kit.

11. Directors' remuneration & bonuses

Substantive procedure	Source(s)
Obtain a schedule of directors' remuneration/bonus, cast it, and agree the total disclosed in the financial statements.	*Hart Co (risk doc) / Gooseberry Co / Airsoft Co*
Confirm any bonus accrual is included as a year-end liability where not yet paid.	*Gooseberry Co*
Agree individual payments to payroll records.	*Gooseberry Co / Airsoft Co*
Recalculate bonus payments against the approved criteria/percentage rates, agreeing to directors' service contracts.	*Gooseberry Co*
Confirm the amount of each payment by agreeing to the bank ledger account and bank statements.	*Gooseberry Co / Airsoft Co*
Agree amounts paid per director to board minutes to confirm sums are fully accrued, disclosed, and genuine (not fictitious).	*Gooseberry Co / Airsoft Co*
Review board minutes to identify whether any additional payments relating to the year have been agreed for any director but not yet reflected.	*Gooseberry Co / Airsoft Co*
Obtain a written representation from management confirming the completeness of directors' remuneration, including any bonus.	*Gooseberry Co / Airsoft Co*
Review the disclosures made regarding directors' remuneration for compliance with local legislation.	*Gooseberry Co / Airsoft Co*

12. Going concern

Substantive procedure	Source(s)
Obtain the entity's cash flow forecast, review the cash inflows/outflows, assess the reasonableness of the underlying assumptions, and discuss with management whether sufficient cash will be available.	*Spadefish Co / Jasmine Co / Elounda Co*
Perform a sensitivity analysis on the cash flow forecast to understand the margin of safety in net cash flow.	*Spadefish Co / Jasmine Co*
Evaluate management's plans for future action, including contingency financing plans and revenue-generation plans, and assess their feasibility.	*Spadefish Co / Jasmine Co*
Review post-year-end actual sales/order book and compare to the assumptions in the cash flow forecast for reasonableness.	*Spadefish Co / Jasmine Co*
Review agreements with the bank/lenders to determine whether any covenants have been (or are at risk of being) breached.	*Spadefish Co / Jasmine Co / Elounda Co*
Review bank/lender correspondence to assess the likelihood of a facility (e.g. an overdraft due for renewal) being renewed or continued.	*Spadefish Co / Jasmine Co / Elounda Co*
Review post-year-end correspondence with key suppliers/customers for indications of withdrawn credit terms, legal action, or loss of a key relationship.	*Spadefish Co*
Enquire of the entity's lawyers as to the existence of any litigation that could affect the going concern assessment.	*Spadefish Co*
Perform subsequent events procedures specifically to identify items that might indicate or mitigate going concern risk.	*Spadefish Co*
Review post-year-end board minutes and management accounts for indications consistent with (or contrary to) the cash flow forecast.	*Spadefish Co*
Consider whether required going concern disclosures (including any material uncertainty) are adequately made in the financial statements.	*Spadefish Co*
Conclude on whether the going concern basis of preparation remains appropriate.	*Spadefish Co*
Obtain a written representation from management confirming their view that the entity is a going concern.	*Spadefish Co / Jasmine Co*

Examiner's comments (real, attributed feedback from past sittings)

- Going concern is a regularly examined, highly formulaic requirement — the procedure list above is close to a complete template. The mark-scoring skill is in TAILORING 2-3 of these generic points to the specific indicators named in the scenario (e.g. which covenant, which supplier, which financing gap), not just reciting the whole generic list.

13. Other specific balances & techniques

Sales tax, audit software, and evidence-gathering when records are unavailable

Substantive procedure	Source(s)
Sales tax liability: agree the year-end liability to the tax return/reconciliation submitted, cast the reconciliation, recalculate the tax charged (output tax) and incurred (input tax) by reference to the relevant rate applied to sales/purchases, and recalculate the net amount payable.	*Hyacinth Co*
Sales tax liability: agree the subsequent payment to the post-year-end bank ledger account/statements, and review correspondence with the tax authority for any additional amounts outstanding.	*Hyacinth Co*
Audit software — analytics: use audit software to recalculate ratios (e.g. payables payment period) for the full year and compare to the prior year/expectations to flag anomalies for further investigation.	*Airsoft Co*
Audit software — casting and sampling: use audit software to cast complete listings (e.g. payables, accruals) for completeness/accuracy, and to select representative samples for further testing.	*Airsoft Co*
Audit software — recalculation: use audit software to recalculate accruals (e.g. goods received not invoiced) and to test cut-off by comparing GRN/GDN dates against the year-end date across the whole population.	*Airsoft Co*
Records destroyed/corrupted: where a balance's underlying records have been lost (e.g. a system corrupted by a virus), discuss with management whether alternative records exist, and attempt analytical procedures (e.g. proof-in-total, month-on-month comparison to the prior year) to gain evidence in total, since the original detailed testing is not possible.	*Violet & Co*

Examiner's comments (real, attributed feedback from past sittings)

- Airsoft Co: audit software procedures should describe WHAT the software is used to do (cast, recalculate, select a sample, compare a ratio across the whole population) — simply stating 'use audit software to test payables' with no specific application scores nothing.

14. Subsequent events

Source: Heron Co / Hyacinth Co

Substantive procedure	Source(s)
Review correspondence relevant to the post-year-end matter (e.g. from the customer, or regulator/authority) to assess what it reveals about conditions that existed at the year end.	*Heron Co / Hyacinth Co*
Discuss with management and review board minutes to understand their view of the matter and why they believe (or don't believe) an adjustment is required.	*Heron Co / Hyacinth Co*
Review the post-year-end bank ledger account/bank statements to identify whether any related payment or receipt has occurred, and compare to amounts recognised/proposed.	*Heron Co / Hyacinth Co*
Obtain a schedule of the affected balance and agree components (e.g. net book value of damaged assets) to supporting records such as the non-current asset register or inventory records.	*Hyacinth Co*
Where physical assets are affected, attend the relevant site and physically inspect the items to confirm the extent of the impact and corroborate management's assessment.	*Hyacinth Co*
Discuss with management the basis for any valuation assumption used post-event (e.g. a nil scrap value), and consider the reasonableness of that assumption.	*Hyacinth Co*

Substantive procedure	Source(s)
Discuss with management their plans for disclosure of the matter as a non-adjusting event, where relevant, and review the adequacy of any proposed disclosure.	*Hyacinth Co*

Examiner's comments (real, attributed feedback from past sittings)

- Heron Co / Hyacinth Co: the FIRST step is always to conclude whether the event is adjusting or non-adjusting under IAS 10 — this determines whether procedures should be aimed at quantifying an adjustment to existing balances, or at assessing the adequacy of disclosure only. State this conclusion before listing procedures.
- Hyacinth Co: procedures for subsequent events must be procedures that would be performed AT THE COMPLETION STAGE to form a conclusion on the required treatment — not the main-testing-stage procedures that would have been performed anyway had the event been known about earlier.

15. Compliance with laws & regulations

Source: Encore Co

Substantive procedure	Source(s)
Review correspondence with the relevant regulator/authority to establish the details of the alleged breach and how many times it is alleged to have occurred.	*Encore Co*
Enquire of the directors why they are unwilling to make disclosure or a provision — whether they dispute the breaches occurred, accept they occurred but consider the effect immaterial, or another reason.	*Encore Co*
Review the entity's own policies/procedures relevant to the regulation in question and compare to the regulatory requirements to assess the likelihood and frequency of breaches.	*Encore Co*
Review correspondence with the regulator for evidence of discussions about any OTHER instances of potential non-compliance.	*Encore Co*
Review correspondence with the entity's legal advisers, or with the client's permission contact them directly, to establish their assessment of the likelihood the breach will be proven and any fines/penalties likely to be payable.	*Encore Co*
Review board minutes to ascertain management's view of the likelihood of payment to the regulator.	*Encore Co*
Obtain a written representation confirming the directors are not aware of any other breaches of laws or regulations requiring a provision or disclosure.	*Encore Co*
Inspect the post-year-end bank ledger account/bank statements to identify whether any fines have since been paid.	*Encore Co*

Examiner's comments (real, attributed feedback from past sittings)

- Encore Co: whether a probable fine following a pre-year-end breach is an adjusting subsequent event turns on timing — if the breach and investigation occurred before the year end, a later confirmation/announcement of enforcement action is additional evidence of a condition that already existed at the year end (adjusting), not a new post-year-end event.

16. Quick-reference: procedure topic checklist

Before answering a substantive procedures question, scan this list against the balance/topic named in the requirement - it tells you which section of this recap to pull from, and the core technique that balance always tests.

Balance / topic	Core technique to reach for
Inventory - valuation	Confirm cost (purchase invoices/cost cards) then NRV (post-year-end sales price vs cost); check aged/slow-moving items for write-down.
Inventory count	BEFORE: decide sites to attend, review count instructions. DURING: observe compliance, test counts both directions, check damaged-goods segregation, note last GRN/GDN numbers.
Trade receivables - existence/valuation	Aged listing + after-date cash receipts + customer correspondence + recalculate the allowance; existence via GDN/sales order/invoice trail.
Receivables circularisation	Steps: consent, sample (nil/old/credit/large), letter on client paper, client signs, reply direct to auditor. Exceptions: non-response = follow up then alternative procedures; balance difference = cash/goods in transit or misposting.
Trade payables - completeness	Supplier statement reconciliations + after-date payments + GRN/invoice cut-off matching + payables circularisation.
Bank & cash	Confirmation letter + cast reconciliation + agree to statement + trace lodgements/unpresented cheques + review for window dressing.
Provisions (redundancy, restructuring)	Confirm timing of obligation (board minutes/announcement) + recalculate from source records (payroll/contracts/invoices) + compare to post-year-end actual payment.
Legal claims	Correspondence with lawyers on likelihood/amount + board minutes + post-year-end payment check + IAS 37 disclosure review.
PPE - additions/disposals	Agree cost to invoice (rights and obligations) + physically verify (existence) + recalculate depreciation with correct time-apportionment.
PPE - revaluation	Assess valuer competence/objectivity + agree to valuation report + recalculate revaluation surplus + recalculate post-revaluation depreciation.
Depreciation	Assess reasonableness of rate/life/method vs industry and replacement budgets + use profit/loss on disposal as corroborating evidence + recalculate a sample.
Intangibles / R&D	Per project: research (expense) vs development (capitalise) + IAS 38 criteria (feasibility, resources, intent) + recalculate amortisation from point of use.
Revenue	Analytical (trend/proof-in-total/margin) + tests of detail (price list, cut-off via GDN, deferred income for advance payment) - never stray into receivables procedures.

Hunny Shah

Balance / topic	Core technique to reach for
Bank loans	Loan agreement terms + confirmation letter + recalculate interest/capital split + covenant recalculation + current/non-current disclosure split.
Share issues	Board minutes + statutory constitution permission + share register + bank proceeds + recalculate share capital/premium split.
Directors' remuneration/bonus	Recalculate against contract/criteria + agree to payroll and bank payment + board minutes for completeness + local legislation disclosure check.
Going concern	Cash flow forecast + sensitivity analysis + management's mitigating plans + covenant/facility renewal correspondence + written representation.
Sales tax liability	Recalculate output tax less input tax from source listings + agree subsequent payment + check for outstanding correspondence with tax authority.
Audit software	Name the specific use: cast, recalculate across the whole population, select a sample, or compare a ratio - never just 'use audit software to test X'.
Subsequent events	First conclude adjusting vs non-adjusting under IAS 10, THEN design completion-stage procedures to confirm the required adjustment or disclosure.
Laws & regulations breach	Regulator correspondence + compare internal policy to the regulation + legal adviser view on likely fine + written representation on other breaches.